

A Paradigm Shift in Telecom Economics

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A Paradigm Shift in Telecom Economics:

AI Agents That Read the Physical World Are Redefining Where to Build and Who to Win

APAC operators are spending more on capex than ever. The ones that win the next decade will not be the ones that spend the most - they will be the ones that know precisely where to spend it, and who to win when it is live, based on neighborhood-level physical intelligence.

Published	Region	Segments	Contact
June 2026	Asia-Pacific	Mobile . Broadband . Fiber	signal@propheus.com

1Executive Summary

APAC operators are using AI - and it is working, inside the network. 89% of operators globally plan to increase AI budgets in 2026, up from 65% the prior year (NVIDIA, 2026). APAC leads global growth at 32.9% CAGR (Grand View Research, 2024). The results in the areas where AI is deployed are real.

AI Use Case	Metric Moved	Result
Network automation & predictive maintenance	Downtime, repair costs	30% fewer failures; 25% lower repair costs (Verizon); fastest ROI of any AI use case (NVIDIA, 2026)
Conversational AI & customer service	Cost per interaction, CSAT	32% avg. reduction in cost per interaction; top performers 50%+ (CallSphere, 2026)
Churn prediction & retention	Voluntary churn, CLV	10-25% churn reduction; 8-18% CLV increase; ROI in 6-10 months (Deloitte, 2026)
Energy optimisation	Opex, carbon emissions	Validated savings across major Korean and US operators (The Fast Mode, 2026)



But AI has not touched the two problems that determine long-term strategic returns

The AI deployed today is overwhelmingly directed inward - making the network run better and existing customers easier to serve. These are real gains. But they leave untouched the two decisions that define whether an operator earns above its cost of capital over the next decade.

The Two Unsolved Problems

Why Current AI Falls Short

WHERE TO BUILD - which corridors, precincts, and addresses justify infrastructure investment?

AI models use historical subscriber data and coverage maps. First-party data describes what you already have, not where demand is forming next.

WHO TO WIN - which customers to acquire or retain, at which address, at which moment?

Propensity models and territory maps are static. They cannot see a competitor weakening in a postcode, or even spot a residential development weeks away from first move-in.

-1.3%

Mobile ARPU CAGR -
revenue per user shrinking
every year
GlobalData, 2025

-4.7%

Fixed voice revenue CAGR
through 2028
GlobalData, 2025

\$300B

Global capex flat for 2
consecutive years - efficiency
is now the game
Industry consensus, 2025

2 Now there are AI Agents that can plug into the physical world

A new class of AI Agents reads signals no first-party dataset will ever surface: satellite imagery, mobility traces, construction data, crowdsourced network performance, competitor movement. These agents continuously convert the physical world around telecom operations into decisions - on where to deploy capital before a competitor does, and which customers to acquire or retain before the window closes.

This is not a data argument. It is a returns-on-capital argument. Every physical signal either raises the return on infrastructure already in the ground, or lowers the cost of acquiring the next subscriber.



3 The APAC Telecom Landscape

Segment	Scale	The Real Question
Mobile	\$357B (2025) → \$415B by 2030 · Penetration 81% → 88%	Saturation is close. The fight is monetisation - who to target, not just where to build coverage.
Fixed Broadband	673M+ subscribers · \$386B revenue · 55.2% household penetration	The capex question is not whether to build - it is where to build first.
Fiber	90% of emerging APAC fixed lines by 2030 · Data demand doubling	Deploy ahead of demand in the right corridors. Avoid overbuilding where take-up will be slow.

3.1 Two Problems. The Same Root Cause

Problem 1: Capex deployed on yesterday's physical world data

By the time infrastructure is live - 18 to 36 months after the planning decision - the demand picture has shifted. The capex went in based on a world that no longer exists.



What Operators track

Homes passed

Historical take-up rates

Competitor coverage maps

What Actually Drives ROI

Homes likely to convert - and when

Where demand is forming ahead of infrastructure

Where competitors are weak or overextended today

Problem 2: Sales and retention hitting the wrong door

Subscriber records and territory maps cannot tell you a competitor weakened in a postcode, a development is six months from occupancy, or a rival just opened a store near your highest-churn cluster.

Metric Operators Optimise For

CAC

Churn rate

Field sales conversion

What They are Missing

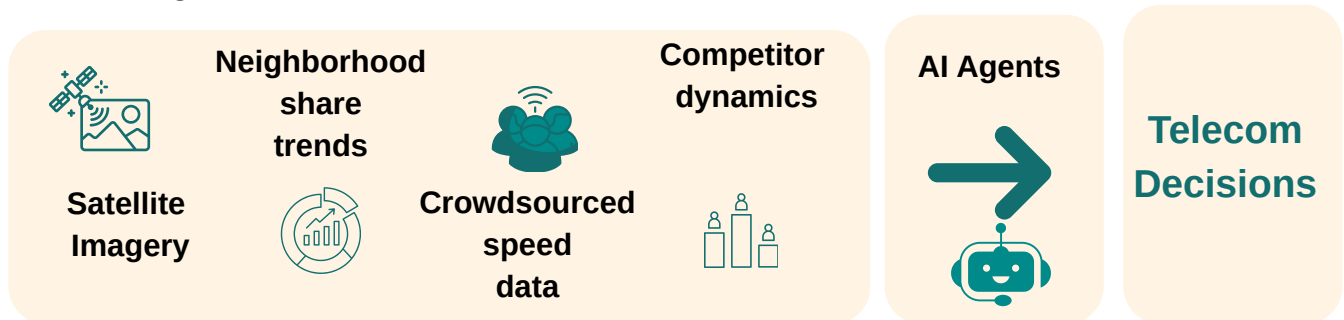
Which addresses have the highest conversion probability today

30-60 day early warning before defection occurs

When and where to go - not just which territory to cover

4 How Propheus Plugs Operators Into the Physical World

Propheus AI Agents continuously convert physical-world signals into sharper, faster, cheaper decisions - across capex planning, digital marketing, direct sales force, telesales, pricing, product recommendation, and more. Here is the difference you must not ignore.



1 Satellite imagery indicates clusters of demand before they materialise

Construction data detects a cluster of residential towers beside a new commercial development, months before move-in, before any competitor's coverage map reflects it. This allows for a first-mover advantage instead of a reactive strategy after the fact.

6-9 months first-mover advantage; higher take-up at launch, lower subsidy cost per subscriber.

2 Neighborhood share trends expose a competitor's opening move

Share tracking at street level shows a rival rapidly capturing dissatisfied customers in a specific cluster. The operator can act in time with complaint resolution, targeted micro-promotions, and infrastructure triage, retaining at-risk customers and winning fence-sitters untouched by the rival.

15-25% churn reduction when acting 30-60 days before likely defection.

3 Crowdsourced speed data reveals where rivals are weak

Public reviews, outage reports, and crowdsourced speed tests produce a neighbourhood-level map of competitor dissatisfaction. Where a rival's network is visibly underperforming, the operator has a precise acquisition target: unhappy customers who can be won on a performance promise, not a blanket discount.

Lower CAC through surgical targeting, not broadcast across an admin area.

4 Competitor dynamics and mobility patterns make field sales efficient

Mobility and time-at-home signals tell field teams not just where to knock — but when. Contact rates and conversion per visit lift directly. The signal does not change what the sales team does; it changes how efficiently they do it.

Higher conversion per visit; same headcount producing more new subscribers per quarter.



In each case the pattern is identical: an external signal that first-party data could never produce is converted into a sharper, faster, cheaper decision - every one of which either raises the return on infrastructure already in the ground, or lowers the cost of acquiring the next subscriber.

5 The Returns-on-Capital Case

Decision	Without Physical Intelligence	With Physical Intelligence
Capex allocation	Historical demand models	Real-time demand formation signals
Take-up forecasting	Broad area projections	Address-level conversion probability
Churn management	Reactive, post-defection	30-60 day early warning triggers
CAC optimisation	Territory broadcast spend	Surgical targeting on highest-probability cohorts
Field sales efficiency	Territory coverage maps	Mobility-led contact timing

The operators that win the next decade will not be the ones that spend the most. They will be the ones that know where to spend - and know who to go after once the infrastructure goes live. Every physical signal either improves the return on infrastructure already in the ground or lowers the cost of winning the next subscriber. That's the only number that matters.

The physical world is already generating those signals. The question is whether you are reading them.

Want to see it in action? **Book a call with Propheus** and we will show you exactly how operators are plugging into the physical world today.

